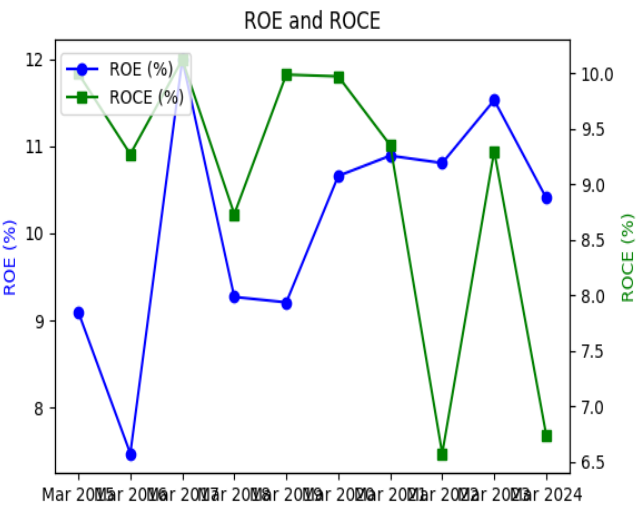
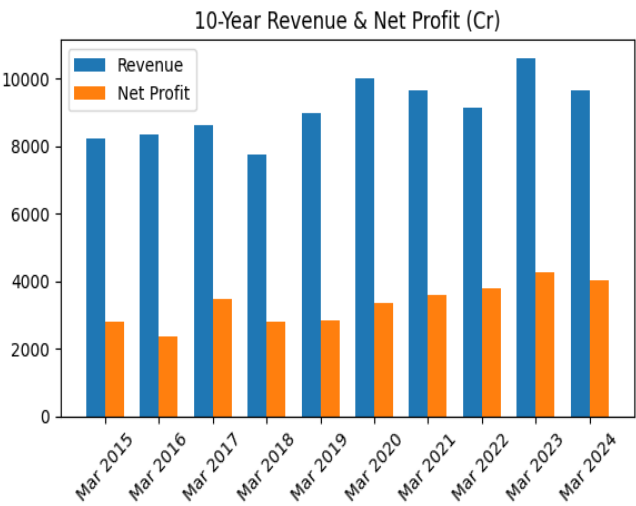
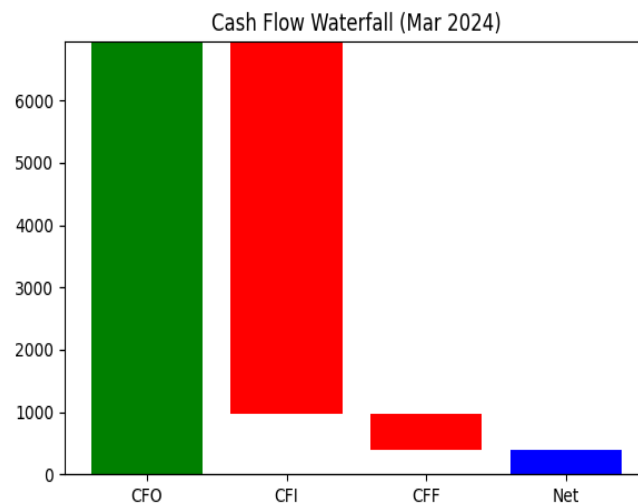
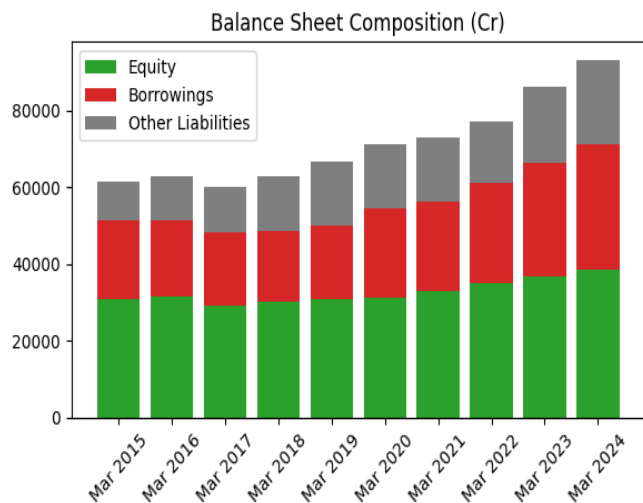


NHPC Ltd (NHPC)

Revenue ■9,690 Cr	Net Profit ■3,417 Cr	ROE 10.4%
ROCE 6.7%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Shareholder Returns